

suffering from confirmation bias. This is because further research might unearth information that contradicts a previous conviction (“I made a good investment decision”).

ADVICE

The following advice corresponds to each of the four problem areas listed in this chapter.

General confirmation bias behavior. The first step toward overcoming confirmation bias is to recognize that the bias exists. Then people can mindfully compensate by making sure to seek out information that could contradict—not just confirm—their investment decisions. It is important to remember that the mere existence of contradictory evidence does not necessarily mean an investment was unwise. Rather, uncovering all available data simply facilitates informed decisions. Even the most precisely calculated judgments can go awry; however, when investors make sure to consider all available contingencies and perspectives, they are less likely to make mistakes.

Selection bias. When an investment decision is based on some preexisting criterion—such as a trend regarding stocks that break through 52-week highs—it is advisable to cross-verify the decision from additional angles. Fundamental research on a company, industry, or sector, for example, can often provide another informative dimension. This will help to ensure that investment selections don’t blindly adhere to preconceived principles while ignoring practical considerations.

Company stock. Overconcentrating in company stock is inadvisable for numerous reasons. In guarding against confirmation bias, employees should monitor any negative press regarding their own companies and conduct research on any competing firms. While it is easy to become desensitized toward bad news regarding one’s own company, remember: “Where there’s smoke, there’s (too often) fire.” Employee investors should heed the warning signs—or risk getting burned.

Overconcentration. Company stock isn’t the only investment with which people can become unduly enamored. People who demonstrate a disproportionate degree of commitment to any stock